

Module 9

Principles of Taxation

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION B – WRITTEN QUESTIONS (Total: 80 marks)**Answer 1(a)**

Circle Limited
Depreciation allowance
Year of assessment 2021/22

	20% Pool HK\$	30% Pool HK\$	Allowance HK\$
WDV b/f	18,000	42,000	
Additions	180,000	600,000	
	<u>198,000</u>	<u>642,000</u>	
Less: I.A. – 60%	(108,000)	(360,000)	468,000
	<u>90,000</u>	<u>282,000</u>	
Less: Disposal proceeds	(12,000)	(200,000)	
	<u>78,000</u>	<u>82,000</u>	
Less: A.A.	(15,600)	(24,600)	40,200
WDV c/f	<u>62,400</u>	<u>57,400</u>	<u>508,200</u>

Answer 1(b)

Circle Limited
Industrial building allowance
Year of assessment 2021/22

	HK\$	HK\$
Residue value of qualifying expenditure b/f		2,160,000
Additions (Loft)	800,000	
Less: I.A. – 20%	<u>(160,000)</u>	<u>640,000</u>
		2,800,000
Less: A.A. (HK\$9,000,000 + HK\$800,000) x 4%		<u>(392,000)</u>
Residue value c/f		<u>2,408,000</u>
Total allowance HK\$(160,000 + 392,000)		<u>552,000</u>

Answer 1(c)

Circle Limited
Profits tax computation
Year of assessment 2021/22
Basis period: year ended 30 November 2021

	HK\$	HK\$
Net profit per income statement		3,813,000
Less: Profit on sale of fixed assets	22,000	
Bank interest	20,000	(42,000)
		3,771,000
Add: Special contributions to MPF ($\text{HK\$}500,000 \times 4 / 5$)		400,000
Annual contributions to MPF in respect of Patrick ($\text{HK\$}180,000 - \text{HK\$}900,000 \times 15\%$)		45,000
Loan to ex-employee written off		50,000
Proceeds on sale of prescribed fixed assets		130,000
Professional fees on tax investigation		200,000
Donations		600,000
Depreciation		330,000
		5,526,000
Less: R & D expenditure further allowed ($\text{HK\$}1,800,000 \times 300\% - \text{HK\$}1,800,000$)	3,600,000	
Depreciation allowance of plant & machinery	508,200	
Commercial building allowance ($\text{HK\$}9,000,000 \times 1 / 3 + \text{HK\$}500,000$) $\times 4\%$	140,000	
Industrial building allowance	552,000	
Prescribed fixed assets	500,000	(5,300,200)
		225,800
Less: Approved charitable donations – 35%		(79,030)
Assessable profit		146,770
Profits tax @ 8.25%		12,108
Less: Tax reduction		(10,000)
Profits tax payable		2,108

Answer 1(d)(i)

Interest received on loan to a supplier in Hong Kong

S.15(1)(f) of the IRO provides that where a corporation carries on a trade or business in Hong Kong and derives interest from a Hong Kong source, the interest income is taxable. As the Company is carrying on business in Hong Kong and the interest is sourced in Hong Kong by virtue of provision of credit test, the interest received on loan to a supplier is taxable. Interest Exemption Order 1988 does not apply as the supplier is not a financial institution.

Answer 1(d)(ii)

Loan to ex-employee written off

To qualify for the deduction of bad debt, the company must prove to the satisfaction of the assessor that the debt is irrecoverable and the loan was included previously as trading receipt unless the person has been carrying on a money lending business (s.16(1)(d)). As the loan to ex-employee does not satisfy the above conditions, the amount written off is not deductible.

Answer 2(a)

According to DIPN10, the IRD will accept that the employment is located outside Hong Kong if the following three factors are present:

- (1) The contract of employment was negotiated, and entered into, and is enforceable outside Hong Kong;
- (2) The employer is resident outside Hong Kong; and
- (3) The employee's remuneration is paid to him outside Hong Kong.

In relation to Paul's case, his employer has changed from K Limited to K (HK) Limited when he was seconded to Hong Kong. He reported to the Board of Directors of K (HK) Limited, and was holding a position in a Hong Kong company. Paul's name card showed that he belonged to K (HK) Limited. K (HK) Limited is a Hong Kong resident and his salary was paid by the Hong Kong Company. All these factors indicate that Paul is employed by K (HK) Limited and his employment with K (HK) Limited is located in Hong Kong.

Answer 2(b)(i)

Paul
Share option gain
Year of assessment 2021/22

HK\$

Option A

Market value at the time of exercise (50,000 x HK\$15)	750,000
Less: Cost of shares (50,000 x HK\$5)	(250,000)
Share option gain	<u>500,000</u>

Share option gain chargeable to salaries tax
(HK\$500,000 x 200 / 366)

273,224

Option B

Market value at the time of exercise (20,000 x HK\$14)	280,000
Less: Cost of shares (20,000 x HK\$6)	(120,000)
Share option gain chargeable to salaries tax	<u>160,000</u>

Total gain HK\$(273,224 + 160,000)

433,224

Answer 2(b)(ii)

Paul
Salaries tax
Year of assessment 2021/22
Basis period: year ended 31 March 2022

HK\$

HK\$

Salaries		1,600,000
Holiday journey benefit		60,000
		<u>1,660,000</u>
Rental value (10%)		166,000
		<u>1,826,000</u>
Share option gain		433,224
Total assessable income		<u>2,259,224</u>
Less: Approved charitable donations	100,000	
Mandatory contribution to MPF scheme	18,000	(118,000)
		<u>2,141,224</u>
Less: Married person's allowance	264,000	
Child allowance	120,000	(384,000)
Net chargeable income		<u>1,757,224</u>

Tax at progressive rate

HK\$(1,757,224 – 200,000) x 17% + HK\$16,000

280,728

Tax at standard rate HK\$2,141,224 x 15%

321,183

Salaries tax

280,728

Less: Tax reduction

(10,000)

Salaries tax payable

270,728

Answer 2(c)(i)

Bonus from K Limited

Under s.11D(b)(ii), any sum paid by an employer to an employee after the cessation of employment is deemed to have accrued to the employee on the last day of that employment. Paul ceased employment with K Limited on 31 March 2021. The bonus received by Paul from K Limited on 1 May 2021 was deemed to have accrued to him on 31 March 2021. As his employment with K Limited was a non-Hong Kong employment, this sum was to be assessed on time-apportionment basis in the year of assessment 2020/21.

Answer 2(c)(ii)

Provision of car

As K (HK) Limited leased a car from a car rental company, the lease payment by K (HK) Limited is to discharge its own liability, and not Paul's liability. K (HK) Limited provided the car for Paul's use, which is a benefit-in-kind from the employment, however, the use of the car cannot be convertible into cash, hence the benefit is not taxable.

Answer 3(a)

S.14 of the IRO provides that profits tax is charged on every person:

- (i) carrying on a trade, profession or business in Hong Kong;
- (ii) in respect of his assessable profits arising in or derived from Hong Kong from such trade, profession or business.

Profits arising from the sale of capital assets are excluded from the profits tax charge. The residential status of a person is in general, irrelevant in considering whether the person is chargeable to Hong Kong profits tax, subject to other provisions in the IRO.

Answer 3(b)

Under s.82B of the IRO, a person who has been assessed to additional tax under s.82A may lodge an appeal in writing to the Clerk to the Board of Review within one month after the notice of assessment is given to him. The Board of Review may extend the time for lodging an appeal if it is satisfied that an appellant was prevented from giving the notice of appeal within the one-month period due to illness, absence from Hong Kong or other reasonable causes.

The notice of appeal must be accompanied by:

- (1) a copy of the notice of assessment;
- (2) a statement of the grounds of appeal;

- (3) a copy of the notice issued under s.82A(4) of the IRO; and
- (4) a copy of any written representations made by the taxpayer or his tax representative to the notice under s.82A(4).

At the same time, a copy of the notice of appeal and the statement of the grounds of appeal are to be served to the CIR.

Answer 3(c)

B Limited received the notice of assessment to additional tax under s.82A on 20 October 2021. If the Company wants to lodge an appeal, under normal circumstances, it has to file the notice of appeal to the Clerk to the Board of Review on or before 20 November 2021.

Answer 4(a)

The agreement for sale and purchase ("ASP") of office property.

AD valorem stamp duty ("AVD")

East Limited holds 90% issued shares of West Limited and West Limited holds 90% of issued shares of North Limited, therefore East Limited indirectly holds 81% of the issued shares of North Limited, which is less than 90% shareholdings. Thus, East Limited and North Limited are not associated corporations under the Stamp Duty Ordinance and s.45 relief under the Stamp Duty Ordinance does not apply. The agreement of sale and purchase is chargeable to stamp duty.

Any instrument executed on or after 26 November 2020 for the sale and purchase or transfer of non-residential property will be subject to ad valorem duty (AVD) at the rates under scale 2. The ASP of the office property is therefore chargeable at scale 2 and the amount of AVD is computed as follows:

$$AVD = HK\$15,000,000 \times 3.75\% = HK\$562,500$$

Special stamp duty ("SSD") and Buyer's stamp duty ("BSD")

SSD and BSD are imposed on the sale and purchase of residential property under certain circumstances. As the office property in question is a non-residential property, no SSD or BSD is payable.

Answer 4(b)

Lease of office property by North Limited

Although North Limited and South Limited are associated corporations, s.45 relief does not apply to leases. Hence, the lease agreement is chargeable with stamp duty under Head 1. The amount of AVD is computed as follows:

$$AVD = HK\$400,000 \times 4.25\% + HK\$30,000 \times 12 \times 1\% = HK\$20,600$$

Answer 5(a)

Election for personal assessment must be made:

- (1) within two years after the end of the year of assessment in respect of which the election is to be made;
- (2) within one month after an assessment of any income or profit which forms part of the total income for such year of assessment becomes final and conclusive under s.70 of the IRO; or
- (3) such further period as the CIR may allow as being reasonable in the particular circumstances, whichever is the later.

Answer 5(b)

Bruce and Betty
Property tax
Year of assessment 2021/22
Basis period: year ended 31 March 2022

	HK\$
Rent (HK\$20,000 x 12)	240,000
Less: Rates paid by owner	(4,800)
	235,200
Less: 20% statutory deduction	(47,040)
Net assessable value	188,160
 Betty's share of net assessable value	 62,720
Property tax @15%	9,408

Answer 5(c)

Bruce
Personal assessment
Year of assessment 2021/22

	HK\$
Net assessable value (HK\$188,160 x 2 / 3)	125,440
Net assessable profit HK\$(600,000 – 600,000 x 35%)	390,000
	515,440
Less: Mortgage loan interest (HK\$60,000 x 2 / 3)	(40,000)
	475,440
Less: Approved charitable donations	
[HK\$(475,440 + 210,000) x 35% – HK\$210,000]	(29,904)
Home loan interest	(100,000)
	345,536
Less: Business loss	(200,000)
	145,536
Less: Married person's allowance	(264,000)
Net chargeable income	0

Answer 6

ABC & Co
Profits tax
Year of assessment 2021/22
Basis period: year ended 31 March 2022

Assessable profit for the year	HK\$ <u>480,000</u>
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Profits and losses allocation

	Albert HK\$	Bernard HK\$	C Limited HK\$	Total HK\$
Partners' salaries	360,000	240,000	0	600,000
Interest on capital	<u>120,000</u>	<u>160,000</u>	<u>300,000</u>	<u>580,000</u>
	480,000	400,000	300,000	1,180,000
Balance (1:1:2)	<u>(175,000)</u>	<u>(175,000)</u>	<u>(350,000)</u>	<u>(700,000)</u>
	305,000	225,000	(50,000)	480,000
Reallocation*	<u>(28,774)</u>	<u>(21,226)</u>	<u>50,000</u>	<u>0</u>
	276,226	203,774	0	480,000
Less: Loss set-off	<u>(100,000)</u>	<u>(203,774)</u>	<u>0</u>	<u>(303,774)</u>
	<u>176,226</u>	<u>0</u>	<u>0</u>	<u>176,226</u>
Profits tax rate	7.5%	0	0	
Profits tax	<u>13,216</u>	<u>0</u>	<u>0</u>	13,216
Less: Tax reduction				<u>(10,000)</u>
Profits tax payable				<u>3,216</u>

*Albert HK\$50,000 x 305,000 / 530,000
Bernard HK\$50,000 x 225,000 / 530,000

Statement of loss

Loss b/f	490,000
Less: Loss set-off as above	<u>(303,774)</u>
	186,226
Less: Loss lapsed upon Bernard's retirement from the partnership	<u>(96,226)</u>
Loss c/f (C Limited)	<u>(90,000)</u>

* * * END OF EXAMINATION PAPER * * *